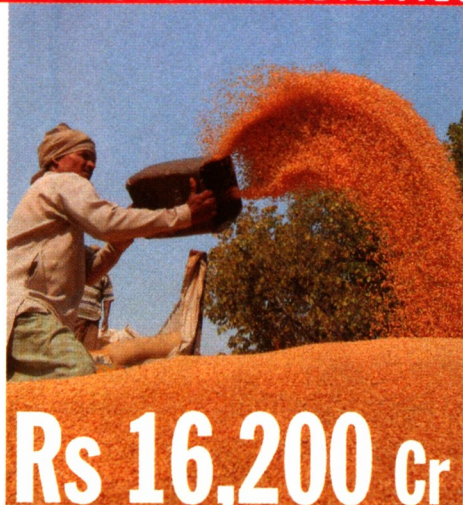


OFF-BUDGET LIABILITIES



Rs 16,200 Cr

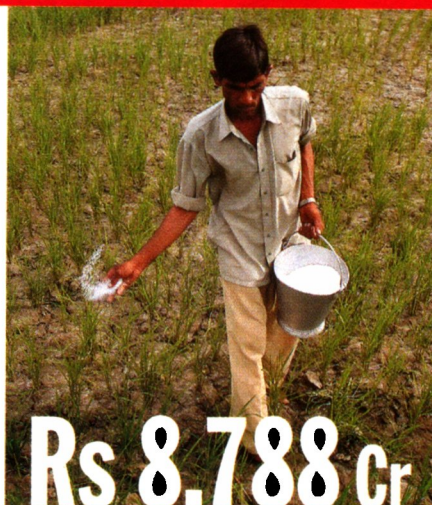
Special securities issued to FCI to settle claims on value of grains provided to Sampoorna Grameen Rozgar Yojana.

WHY: confusion over who will pay for food-for-work programme.

RISK: one-time confusion has been sorted out but rising grain demand could push up subsidies.

WAY OUT: use technology and smart cards to deliver subsidies directly to poor.

Take the issue of oil bonds issued to oil marketing companies. It's not the first instance of expenditure kept outside the books. In 2005-06 the Government had placed Rs 17,262 crore worth of oil bonds outside the budget. As the Government monopolises the oil marketing, it can, will and does use ownership rights to price products at politically acceptable levels. In a recent report on the oil and gas sector, the rating agency ICRA points out that six of the nine recommendations of the Rangarajan Committee on pricing have been ignored. Most importantly, it called on the Government "to keep at an



Rs 8,788 Cr

Money owed to FERTILISER companies as arrears of subsidies for fertiliser sold in 2006-07.

WHY: arrears were parked in the books of fertiliser companies and paid out from current year's subsidy.

RISK: this year's subsidy of Rs 22,451 crore could be exhausted by September leading to new liabilities.

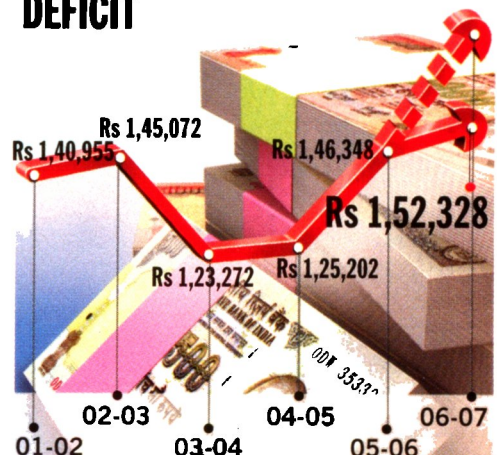
WAY OUT: restructure system to pay farmers directly.

arm's length from price determination and to allow flexibility to oil companies to fix retail price".

Instead, the Government came up with a political solution. Last year oil marketing companies took a hit of Rs 49,387 crore and were promised bonds worth Rs 24,121 crore. The upstream companies—those which supplied PSU refineries crude—gave a discount around Rs 20,000 crore while the rest was accounted for by price hikes. Dubbed as "equitable burden sharing", the formula required the Government to issue bonds, oil companies to take a hit and consumers to pay

REAL FISCAL DEFICIT

Rs 1,96,466



Figures in crore

These liabilities kept off-budget, when included, ramp up fiscal deficit in 2006-07 from 3.7 per cent of GDP to 4.7 per cent.

MODUS: by disputing demands, expenditure is hidden by keeping liabilities off the books.

RISK: rising subsidy bill may tempt the Government to keep big tag liabilities out again to manage deficit targets.

WAY OUT: use buoyancy in tax collection to restructure subsidy regime.

a third of the real price hike. Faced with the political cost of high inflation, successive governments have retained the rights to price fuel. Energy costs by themselves account for barely 14 per cent of the total weightage in the wholesale price index. But since managing the supply side problems of food articles or the capacity constraints of manufactured goods is tougher, controlling fuel prices is an easy way to manage inflation indices.

The story of fertiliser subsidies is more complex. To start with, India has engineered and sustained perhaps the most complicated system to deliver fer-